

Pinebrook Advisory Group LLC

www.pinebrookadvisory.com

July 7, 2019

Stephanie Campos
Chief Financial Officer
Johnson and Sons

Dear Ms. Campos:

This letter is our agreement to carry out an operational review for Johnson and Sons, and if you sign it and return one copy to me we will begin on the date set out below. It records what we will do, who will do it, what it costs, and what each of us owes the other, and it is short because I have never seen a long one prevent a disagreement. If any part of it reads differently from what we discussed, say so before you sign rather than after, since the whole value of a letter like this is that you and I are holding the same one.

Scope and Approach

The review covers how the work of Johnson and Sons actually gets done, from the point an order arrives through purchasing, scheduling, production, and shipment, together with the reporting and the standing meetings your managers use to steer all of it. We will look for the places where work waits, where it is done twice, and where the numbers your people manage by have stopped describing what happens on the floor, and we will tell you which of those is costing you the most. We are not auditing your accounts, we are not evaluating individual employees, and we will not hand you a recommendation that would require a different company than the one you have.

Our method is ordinary and we have used it for years. We start in your facilities rather than in your data, because a morning spent watching a shift and asking a supervisor what gets in his way is worth more at the outset than a month of analysis built on somebody else's summary, and we then work from the reporting your systems already produce rather than asking your staff to build anything new for us. We will interview across the business, from your leadership down to the people who touch the product, and we will test what we are told against what we watch, because in our experience the two disagree at first and the gap between them is where the money sits. At the end you get a written report with a short set of recommendations, each carrying the change it asks for and the argument for it, and we will sit with your leadership team and take their questions on every one.

The Team

Robert Miller will lead the review and will be in your facilities for most of it. He works from the floor up, he is slow to accept a conclusion he cannot trace back to something he watched happen, and he is content to let a conversation go quiet until the useful thing gets said. Jennifer Fletcher will run the engagement week to week, hold the workplan, and write to you as the work moves; she is plain on paper, and when a finding is going to be uncomfortable she puts it in the first paragraph instead of at the back where you might miss it. Our analysts will do the supporting work under their supervision and will not be in front of you without one of them. My signature is on this letter and I read what leaves this firm, so if at any point the work is not what you were promised, call me and I will deal with it myself.

Fees and Payment

Our fee for the review is \$103,000, fixed for the scope described above, so if the work takes us longer than we have planned that is our problem and not your invoice. We bill in equal monthly installments across the term, the first on commencement, and each invoice is payable within thirty days of receipt. Travel and other out-of-pocket costs are billed at what they cost us and itemized on the invoice, and we will ask you first before we incur anything of consequence. If you want work that falls outside the scope above, we will describe it and price it in writing and you will approve it before we start, because we do not add scope during the work and settle it on an invoice afterward.

Term and Termination

The engagement commences on July 17, 2019 and runs approximately three months, which is the basis on which we have staffed it and priced it. Either of us may end it on thirty days' written notice. If you end it, you owe the installments that have fallen due and the approved costs we have incurred as of that date, and nothing beyond that. If we end it, which we would do only if we could not do the work honestly or were being asked for a conclusion we had not reached, we will return any fee already paid for work not yet performed.

Confidentiality

What you show us stays with us. We will use your information only for this engagement, we will hold it inside the group doing the work, and everyone on our side carries the same obligation I am putting in writing here. We will not name you as a client, in a proposal or anywhere else, without your written permission. We ask the

same of you for our working papers, our methods, and our report, which remain ours and are given to you for the use of Johnson and Sons and not for circulation past it.

Limitation of Liability

We will carry out this work with the care and skill our profession expects, and we stand behind it. We do not control which of our recommendations you adopt or how your organization takes to them, so we do not warrant a saving, a rate, or any other outcome, and you should be wary of a firm that will. Our total liability under this engagement, on any theory, is limited to the fees you have actually paid us for it, and neither of us is liable to the other for indirect or consequential loss. Nothing in this paragraph limits liability for fraud or willful misconduct.

Governing Law

This letter is the entire agreement between us on this engagement and it replaces anything said or drafted before it. It is governed by the law of the state in which this firm keeps its principal office, and any dispute we cannot settle between ourselves belongs to the courts sitting in that state, to whose jurisdiction we each consent. It may be amended only in writing signed by both of us.

Acceptance

If this letter matches your understanding, please sign below and return one copy to me. Robert Miller will call your office to fix the kickoff and the first round of interviews, and Jennifer Fletcher will send the data request ahead of that so nothing waits on paperwork once we are on site. We are glad to be doing this work, and we will earn the letterhead it is written on.

Very truly yours,

Daniel Jones

Managing Partner

Date: July 7, 2019

Stephanie Campos

Chief Financial Officer, Johnson and Sons

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